

31 July 2001

To: All registered firm

Dear Sirs

Financial Action Task Force on Money Laundering
Non-cooperative Countries and Territories

Further to our letter of 28 February 2001, we would like to update you on the progress of work by the Financial Action Task Force (FATF) ^(Note 1) in respect of jurisdictions identified as non-cooperative countries and territories (NCCTs) in the fight against money laundering.

In June 2001, the FATF Plenary Meeting reviewed the progress made by the 15 jurisdictions it had identified in June 2000 as NCCTs and decided to remove four of these jurisdictions in recognition of their efforts to address deficiencies through the enactment of legal reforms. These jurisdictions are the Bahamas, the Cayman Islands, Liechtenstein, and Panama. Consequently, the application of FATF Recommendation 21 ^(Note 2) has been withdrawn in respect of those jurisdictions.

Following a review of another 13 jurisdictions, FATF identified serious deficiencies in the anti-money laundering regimes of six jurisdictions and added them on the NCCT list. These countries are Egypt, Guatemala, Hungary, Indonesia, Myanmar and Nigeria.

(Note 1) FATF is an inter-governmental body whose purpose is the development and promotion of policies, both at national and international levels, to combat money laundering. FATF currently consists of 29 jurisdictions and two international organizations: Argentina; Australia; Austria; Belgium; Brazil; Canada; Denmark; Finland; France; Germany; Greece; Hong Kong, China; Iceland; Ireland; Italy; Japan; Luxembourg; Mexico; the Kingdom of the Netherlands; New Zealand; Norway; Portugal; Singapore; Spain; Sweden; Switzerland; Turkey; the United Kingdom; the United States; the European Commission; and Gulf Cooperation Council.

(Note 2) Recommendation 21 states that "Financial institutions should give special attention to business relations and transactions with persons, including companies and financial institutions, from countries which do not or insufficiently apply these Recommendations. Whenever these transactions have no apparent economic or visible lawful purpose, their background and purpose should, as far as possible, be examined, the findings established in writing, and be available to help supervisors, auditors and law enforcement agencies."

The revised list of the 17 NCCTs is now as follows:

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|----------------|--------------------|-------------------------------------|
| • Cook Islands | • Israel | • Niue |
| • Dominica | • Lebanon | • Philippines |
| • Egypt | • Marshall Islands | • Russia |
| • Guatemala | • Myanmar | • St. Kitts and Nevis |
| • Hungary | • Nauru | • St. Vincent and the
Grenadines |
| • Indonesia | • Nigeria | |

The FATF calls on its members to remind their financial institutions to give special attention to businesses and transactions with persons, including companies and financial institutions, in these NCCTs. You are advised to comply with this Recommendation. In other words, in addition to the “know your client” rule under the Code of Conduct for Persons Registered with the Commission and Guidance Notes on anti-money laundering issued by the Securities and Futures Commission, you should pay special attention to business relations and transactions with persons, companies and financial institutions, from the 17 countries or territories named in the revised list of NCCTs. Whenever these transactions have no apparent economic or lawful purpose, their background and purpose should, as far as possible, be examined, the findings established in writing, and be available to help supervisors, auditors and law enforcement agencies.

The FATF will review the NCCT list from time to time. We shall advise you of changes to the NCCT list and any future FATF recommendations.

Yours faithfully

Andrew Procter
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